CHAPTER 9

Fiscal Economics

"Incomings may be scant; but yet, no failures there,
If in expenditure you rightly learn to spare".

- Thirukkural No.478

Learning Objectives

1. To understand the meaning and subject matter of public finance.
2. To understand the direct and indirect taxes.
3. To describe the functions of finance commission.

9.1 Introduction

The term '*Fiscal Economics*' is a new one; the old and popular term of the subject is '*Public Finance*'. The subject Public Finance is related to the financing of the State activities and it discusses the financial operations of the *Government treasury*. The term *fiscal* is derived from Greek word which means *basket* and symbolizes the public purse. Hence the subject '*Public Finance*' has been newly termed '*Fiscal Economics*'.

Public Finance studies the manner in which the state raises and spends the resources. The state is concerned with the collective wants of the citizens. The modern state is a welfare state. The activities of the state have increased extensively and intensively. To perform these activities, the state needs funds. This chapter deals with the Public Revenue, Public Expenditure, Public Debt, Budget, Federal Finance and Local Finance.

9.2 Meaning of Public Finance

Public finance is a study of the financial aspects of Government. It is concerned with the revenue and expenditure of the public authorities and with adjustment of the one to the other.

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